

1. Compelling Reasons for Whirlpool Corporation to Partner with Inland Steel

1. Reduce Overall Costs

Whirlpool wanted to reduce business process costs, not just steel prices.

Example:

Inland Steel helped improve manufacturing processes to reduce waste and production costs.

2. Improve Product Quality

A long-term partnership could improve steel quality and appliance performance.

Example:

Better quality steel reduced defects in washing machines and refrigerators.

3. Early Supplier Involvement

Whirlpool wanted Inland Steel involved early in product design.

Example:

Inland engineers helped Whirlpool design appliances using steel more efficiently.

4. Better Technical Support

Inland Steel could provide engineering and technical expertise.

Example:

Inland engineers worked directly with Whirlpool engineers to solve production problems.

5. Reliable Long-Term Supply

Whirlpool needed a dependable steel supplier for continuous production.

Example:

A stable steel supply prevented delays in appliance manufacturing.

6. Competitive Advantage

The partnership helped Whirlpool compete better in the global market.

Example:

Lower costs and better quality helped Whirlpool attract more customers.

2. Compelling Reasons for Inland Steel to Partner with Whirlpool Corporation

1. Long-Term Business Stability

Inland wanted a steady long-term customer.

Example:

Whirlpool gradually increased steel orders to Inland Steel.

2. Higher Profitability

Large and stable orders improved Inland's profits.

Example:

Supplying most of Whirlpool's steel needs increased Inland's revenue.

3. Strong Customer Relationship

Inland wanted close relationships with important customers.

Example:

Regular meetings improved trust and communication between both companies.

4. Opportunity for Innovation

Working closely with Whirlpool encouraged technological improvements.

Example:

Inland invested in modern steel-processing technology specially for Whirlpool.

5. Better Market Position

Partnering with a major company improved Inland's reputation.

Example:

Other companies viewed Inland as a reliable strategic supplier.

6. Shared Growth Opportunities

Both companies could grow together in the future.

Example:

As Whirlpool expanded appliance production, Inland also increased steel sales.

3. Recommendations to Start the Partnership (as CPO Team Member)

1. Build Trust and Open Communication

Both companies should honestly share goals and expectations.

Example:

Conduct regular meetings between Whirlpool and Inland managers.

Why?

Trust is the foundation of successful partnerships.

2. Sign Confidentiality Agreements

Protect sensitive business and technical information.

Example:

Both companies agree not to share design information with competitors.

Why?

It reduces fear about sharing important data.

3. Form Cross-Functional Teams

Include purchasing, engineering, manufacturing, and finance teams from both companies.

Example:

Engineers from both firms work together on product improvement.

Why?

It improves coordination and problem solving.

4. Start Joint Cost-Reduction Projects

Focus on reducing waste and improving processes together.

Example:

Improve steel usage to reduce material waste during production.

Why?

Both companies benefit financially.

5. Conduct Regular Performance Reviews

Measure quality, delivery, cost, and service performance.

Example:

Quarterly meetings review supplier performance and improvement areas.

Why?

It helps maintain continuous improvement.

6. Develop a Long-Term Strategic Vision

Create shared future goals and business plans.

Example:

Both companies plan future technology investments together.

Why?

Long-term planning strengthens commitment and stability.